

OCR

Oxford Cambridge and RSA Examinations

GCSE

Economics

J205/02: National and international economics

General Certificate of Secondary Education

Mark Scheme — Predicted Paper (Advanced)

Total marks: 80

MARKING INSTRUCTIONS

Preparation for marking

- Read and understand the mark scheme and the question paper before marking.
- Mark strictly to the mark scheme; marks awarded must relate directly to the marking criteria.
- If in doubt about applying the mark scheme, consult your Team Leader.
- Where a candidate has crossed out a response and provided a clear alternative, the crossed-out response is not marked. Where no alternative is provided, examiners may give candidates the benefit of the doubt and mark the crossed-out response where legible.

Multiple-choice question responses (Section A)

- Where a candidate provides two responses (even if one is correct) no mark is awarded, as the first response cannot be determined.
- Contradictory responses receive no mark even if one is correct.

Levels of response (Section B extended items)

- Determine the level first: start at the highest level and work down until you reach the level that matches the answer.
- Determine the mark within the level using the best-fit approach: top of level = consistently meets the criteria; bottom of level = on the borderline of this level and the one below.
- For questions marked with an asterisk (*) Quality of Extended Response is assessed: credit is given for coherent, well-structured and logically sequenced reasoning.

Annotations

- ✓ Tick — point worthy of credit
- ✗ Cross — incorrect / not creditworthy
- BOD** Benefit of the doubt
- IR** Irrelevant
- L1 / L2 / L3** Level one / two / three
- TV** Too vague
- NAQ** Not answered question
- SEEN** Noted but no credit given
- OFR** Own figure rule applied
- BP** Blank page

Subject-specific level descriptors

The following descriptors are applied to all level-marked questions in Section B in the Question | Answer | Mark | Guidance tables that follow.

Level descriptor	Knowledge & understanding	Application	Analysis	Evaluation
Good	Good knowledge and understanding of the theory. All terms/concepts are explicitly or implicitly understood.	Good application to the scenario. Terms/concepts are used/adapted in the context. Good understanding of all the relevant elements.	Good analysis through developed links and a clear chain of reasoning that addresses the question. Any diagrams are predominantly correct and linked to the analysis.	Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / comparing alternatives.
Reasonable	Reasonable knowledge and understanding. Most terms/concepts are understood.	Reasonable application. Terms/concepts are used/adapted in the context with some understanding of relevant elements.	Reasonable analysis, largely in the form of single effects that address the question but are not developed into a clear chain of reasoning.	Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but not fully supported.
Limited	Limited knowledge and understanding. Some terms/concepts are understood.	Limited application. An attempt to use/adapt terms/concepts in the context.	Limited analysis with an attempt at a single effect that has some link to the question.	Limited evaluation with an incomplete consideration of arguments / alternatives and unsupported statements.

SECTION A

Question	Key	AO	Quantitative skills
1	D	AO1a	
2	B	AO1b	
3	A	AO2	
4	B	AO1b	
5	C	AO2	Yes
6	A	AO1b	
7	A	AO1b	
8	A	AO2	Yes
9	A	AO1b	
10	B	AO1b	
11	C	AO1a	
12	A	AO1b	
13	A	AO1a	
14	C	AO1b	
15	C	AO2	
16	B	AO1b	
17	A	AO1a	
18	A	AO2	Yes
19	B	AO1b	
20	A	AO1a	

SECTION B

Question	Answer	Mark	Guidance
21 (a)	Using Extract 1, explain what the data show about the UK economy between 2022 and 2023. Answers may include: The UK economy slowed sharply between 2022 and 2023 [1] with real GDP growth falling from 4.3% to 0.3% while CPI inflation remained high (7.3%) and unemployment rose from 3.7% to 4.0% [1]. Features are consistent with the description of stagflation.	2 AO2	1 mark for identifying slowdown / features of stagflation. 1 mark for supporting with the data.

Question	Answer	Mark	Guidance
21 (b)	Using Extract 1, calculate the 'misery index' (inflation rate + unemployment rate) for 2023. Show your working. Working: Misery index = inflation rate + unemployment rate = 7.3 + 4.0 = 11.3 Answer: 11.3 (accept 11.3% or 11.3 percentage points).	2 AO2	2 marks for the correct answer (working not required). 1 mark for correct method but incorrect value.

Question	Answer	Mark	Guidance
21 (c)	Using the information in Extract 1, analyse how a wage-price spiral could prolong high inflation in the UK. Knowledge and understanding: - wage-price spiral = self-reinforcing cycle of wage rises and price rises - cost-push inflation via rising unit labour costs - role of inflation expectations Reference to the extract: - UK CPI inflation peaked above 11% in late 2022 - MPC was concerned about embedding higher inflation expectations Development of reasoning: - workers see prices rising → demand higher nominal wages to protect real pay - firms face higher labour costs → raise output prices to preserve margins - higher prices prompt further wage demands → cycle repeats - inflation expectations rise → become embedded in contracts and pricing decisions - SRAS shifts further left → inflation persists even after the original supply shock fades >> inflation stays high for longer and is harder to bring back to target.	6 AO1a 1 AO2 2 AO3a 3	<i>Best-fit approach.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract. Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt terms/concepts in the context. Reasonable analysis, largely in the form of single effects

Question	Answer	Mark	Guidance
			that address the question but are not developed into a clear chain of reasoning. Level 1 (1–2 marks). Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
21 (d) (i)	Explain what is meant by 'stagflation'. A combination of stagnant or falling economic growth [1] together with high inflation (and typically rising unemployment) [1]. Accept: - high inflation alongside low / negative real GDP growth - simultaneous recession and rising prices	2 AO1b	1 mark for partial definition (e.g. 'high inflation and low growth'). 1 mark for a clear definition that includes both inflation and stagnation/recession.

Question	Answer	Mark	Guidance
21 (d) (ii)	State two limitations of real GDP as a measure of living standards. 1. Ignores the distribution of income / inequality 2. Excludes non-market activity (unpaid work, household production, black market) 3. Does not measure health, education, life expectancy, or well-being 4. Does not capture environmental costs of growth 5. Averages hide regional differences 6. Does not fully capture quality improvements in goods and services	2 AO1a	1 mark for each valid limitation, up to 2 marks.

Question	Answer	Mark	Guidance
21 (d) (iii)*	Evaluate the extent to which the Bank of England should continue to prioritise its 2% inflation target following a severe external supply-side shock. Use the information given in Extract 1 and your own knowledge. Reference to Extract 1 or context: - CPI inflation peaked above 11% - real GDP growth stalled close to zero - rising unemployment Case for maintaining the target: - credibility of the independent central bank is built on commitment to the target	6 AO2 1 AO3a 2 AO3b 3	<i>Best-fit approach.</i> <i>Quality of extended response is assessed.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good understanding of all the relevant elements. Reasonable analysis in the form of single effects that address the

Question	Answer	Mark	Guidance
	- anchors inflation expectations → prevents wage-price spiral - historical lessons from the 1970s, when allowing persistent high inflation proved very costly to eliminate - consistency with statutory MPC remit Case for temporarily relaxing the target: - tightening policy during a recession worsens the downturn - the shock is external (global energy prices) and outside the MPC's control - monetary policy works with a long lag (~18 months) - flexible inflation targeting already allows 'look-through' Intermediate options: - widen target band temporarily - extend the time horizon to return to target - use forward guidance to manage expectations Final judgement may consider: - size and persistence of the shock - degree of central-bank credibility - cost of lost output vs cost of entrenched inflation - on balance, maintaining the target but interpreting it flexibly is often the preferred option		question. Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / alternatives. A well-developed and logically structured line of reasoning; information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
22 (a)	Using Extract 2, explain what the data suggest about the distribution of income in this emerging economy. Answers may include: The distribution of income is highly unequal [1] as the top 10% receive 55% of income while the bottom 50% receive only 15%, and the Gini coefficient is 0.53 [1].	2 AO2	1 mark for identifying inequality. 1 mark for supporting with the data.

Question	Answer	Mark	Guidance
22 (b)	Using Extract 2, calculate the ratio of the average annual income of the top 10% to the average annual income of the bottom 50%. Show your working. Working: Top 10% average income = £18,200 Bottom 50% average income = £1,000 Ratio = 18,200 / 1,000 = 18.2 Answer: 18.2 : 1 (accept 18.2 or 18:1).	2 AO2	2 marks for the correct ratio. 1 mark for correct method but incorrect value. Accept 18.2 or 'about 18 times'.

Question	Answer	Mark	Guidance
22 (c)	Using the information in Extract 2, analyse how a more progressive income tax system could affect the distribution of income and economic growth. Knowledge and understanding: - a progressive tax takes a rising proportion of income as income rises - direct taxes reduce disposable income of higher earners - tax revenue funds transfers and public services Reference to the extract: - top 10% capture 55% of national income - bottom 50% receive just 15% - critics say higher taxes may weaken investment incentives and cause emigration Development of reasoning: - higher marginal tax rates on top earners → rising tax revenue - revenue spent on health, education and transfers to the poorest → rising real incomes for the bottom 50% - falling Gini coefficient → narrower income distribution - counterpoint: higher taxes may discourage work effort, investment, entrepreneurship - higher spending on human capital raises long-run growth (LRAS shifts right) >> income distribution becomes less unequal, with ambiguous short-run effect on growth but potentially positive long-run effect.	6 AO1a 1 AO2 2 AO3a 3	<i>Best-fit approach.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract. Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt terms/concepts in the context. Reasonable analysis, largely in the form of single effects that address the question but are not

Question	Answer	Mark	Guidance
			developed into a clear chain of reasoning. Level 1 (1–2 marks). Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
22 (d) (i)	Explain what is meant by a 'progressive tax'. A tax where the proportion (percentage) of income paid in tax rises as income rises [1] so higher earners pay a larger share of their income in tax than lower earners [1]. Accept: - a tax with higher marginal rates at higher income bands - UK income tax is an example (basic, higher, additional rate bands)	2 AO1b	1 mark for identifying a higher proportion / percentage (not a higher absolute amount). 1 mark for explanation, which could be via a numerical example.

Question	Answer	Mark	Guidance
22 (d) (ii)	Other than income tax, state two policies a government could use to reduce income inequality. - Increasing welfare benefits / transfer payments - Raising the National Minimum Wage / National Living Wage - Providing free public services (education, health) to all - Raising taxes on wealth, inheritance, or property - Regional investment policies / targeted infrastructure spending - Free school meals / child benefit	2 AO1a	1 mark for each valid policy, up to 2 marks. Do not credit a repeat of income tax.

Question	Answer	Mark	Guidance
22 (d) (iii)*	Evaluate the extent to which rapid economic growth is the most effective way to reduce poverty in an emerging economy. Use the information given in Extract 2 and your own knowledge. Reference to Extract 2 or context: - very high inequality in the emerging economy - bottom 50% earn only 15% of national income - rapid growth has reduced extreme poverty Reasons growth reduces poverty: - rising average incomes → 'trickle-down' via job creation - expanding tax base → more revenue for public	6 AO2 1 AO3a 2 AO3b 3	<i>Best-fit approach.</i> <i>Quality of extended response is assessed.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good understanding of all the relevant elements. Reasonable analysis in the form of single effects that address the

Question	Answer	Mark	Guidance
	services • rising exports → foreign currency to import essentials • historical evidence (China, India) of large falls in extreme poverty with rapid growth Reasons growth alone may not be enough: • benefits of growth can be unevenly distributed → inequality widens • growth may be environmentally unsustainable • growth in urban areas may bypass rural poor • without transfers and public services, poorest may not benefit Alternative / complementary policies: • progressive taxation and social safety nets • investment in education and health (human development) • land reform / rural development • access to microfinance and formal banking Final judgement may consider: • growth is necessary but not sufficient for poverty reduction • inclusive growth requires complementary policies • the quality, distribution and sustainability of growth matter		question. Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / alternatives. A well-developed and logically structured line of reasoning; information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
23 (a)	Using Extract 3, explain the change in China's share of world goods trade between 2010 and 2024. Answers may include: China's share of world goods trade rose sharply [1] from 10.3% in 2010 to 14.5% in 2024, a rise of 4.2 percentage points [1].	2 AO2	1 mark for identifying the rise. 1 mark for supporting with the data.

Question	Answer	Mark	Guidance
23 (b)	Using Extract 3, calculate the percentage increase in world exports of goods between 2010 and 2024. Show your working. Working: $\% \text{ change} = (24.1 - 15.2) / 15.2 \times 100$ $= 8.9 / 15.2 \times 100$ $\approx 58.55\%$ Answer: 58.6% (accept answers in the range 58.5% to 58.6%).	2 AO2	2 marks for the correct answer (working not required). 1 mark for correct method but incorrect value. Accept any reasonable rounding.

Question	Answer	Mark	Guidance
23 (c)	Using the information in Extract 3, analyse how a tariff imposed by one country on another country's goods can affect both countries. Knowledge and understanding: - a tariff is a tax on imports - tariffs raise the domestic price of imports - retaliation is common in trade disputes Reference to the extract: - US imposed tariffs up to 25% on Chinese goods in 2018 - China retaliated with tariffs on US goods - WTO warns of >1 percentage point cost to world GDP Development of reasoning: - tariff on imports raises price for consumers in the importing country → lower consumer surplus - domestic producers of import-competing goods gain → higher producer surplus and employment - government collects tariff revenue - deadweight loss: some trade that would have taken place at lower prices no longer happens - exporter in the other country → lower export volumes → job losses in exporting industries - retaliation → reduced exports from first country → losses for its export industries >> both countries experience efficiency losses; consumers and export industries in both countries are typically worse off.	6 AO1a 1 AO2 2 AO3a 3	<i>Best-fit approach.</i> Level 3 (5–6 marks). Reasonable knowledge and understanding; all terms/concepts are explicitly or implicitly understood. Reasonable application to the scenario, with some understanding of the relevant elements. Good analysis: developed links through a chain of reasoning that addresses the question. Any relevant diagrams are predominantly correct and linked to the analysis. To reach Level 3 there must be reference to the data or context in the extract. Level 2 (3–4 marks). Reasonable knowledge and understanding; most terms/concepts are understood. Limited application; an attempt to use/adapt terms/concepts in the context. Reasonable analysis, largely in the form of single effects that address the question but are not developed into a clear chain of reasoning.

Question	Answer	Mark	Guidance
			Level 1 (1–2 marks). Reasonable knowledge and understanding of some terms/concepts. No application of knowledge to the context. Limited analysis, with an attempt at a single effect that has some link to the question. 0 marks — no work worthy of credit.

Question	Answer	Mark	Guidance
23 (d) (i)	Explain what is meant by a 'tariff'. A tax on imported goods or services [1] that raises the price of imports in the domestic market and is paid to the importing government [1]. Accept: - a customs duty on imports - a price-based form of protectionism	2 AO1b	1 mark for 'tax on imports'. 1 mark for a fuller explanation (price effect and/or revenue to government).

Question	Answer	Mark	Guidance
23 (d) (ii)	Other than tariffs, state two forms of protectionism. - Quotas (quantity limits on imports) - Subsidies to domestic producers - Embargoes (import bans) - Non-tariff barriers (technical standards, licensing, red tape) - Voluntary export restraints - Exchange-rate manipulation	2 AO1a	1 mark for each valid form, up to 2 marks. Do not credit a repeat of tariffs.

Question	Answer	Mark	Guidance
23 (d) (iii)*	Evaluate the extent to which free trade always benefits developing economies. Use the information given in Extract 3 and your own knowledge. Reference to Extract 3 or context: - world goods trade has grown substantially since 2010 (+58%) - China's share of world trade has risen while the US share has fallen - WTO estimates sizeable GDP losses if protectionism continues to escalate Benefits of free trade for developing economies: - access to larger export markets → economies of scale and faster growth - ability to exploit comparative advantage → higher output and incomes - transfer of technology and expertise (especially via FDI) - lower consumer prices for imports	6 AO2 1 AO3a 2 AO3b 3	<i>Best-fit approach.</i> <i>Quality of extended response is assessed.</i> Level 3 (5–6 marks). Good application of knowledge to the scenario, with good understanding of all the relevant elements. Reasonable analysis in the form of single effects that address the question. Good evaluation with a fully supported judgement developed from weighing up arguments / both sides / alternatives. A well-developed and logically structured line of reasoning;

Question	Answer	Mark	Guidance
	- historical examples: East Asian 'tigers' and China's rapid growth Limits of free trade for developing economies: - infant industries may struggle to develop under full import competition - commodity exporters exposed to volatile global prices / terms-of-trade shocks - risk of a 'race to the bottom' on labour and environmental standards - WTO rules and developed-country agricultural subsidies can disadvantage developing economies Final judgement may consider: - free trade is generally beneficial but not automatically so - outcomes depend on complementary policies (education, infrastructure, institutions) - sequencing matters: limited protection during early industrialisation can support long-run gains - design of the trading system (WTO, regional agreements) is critical		information is entirely relevant and substantiated. To reach Level 3 there must be application, analysis and evaluation. Level 2 (3–4 marks). Good application of knowledge. Limited analysis in the form of a single effect. Reasonable evaluation considering arguments / both sides / alternatives. A judgement may be made but will not be fully supported. Line of reasoning presented with some structure. Level 1 (1–2 marks). No application of knowledge to the context. Limited analysis with a single effect that has some link to the question. Limited evaluation with incomplete consideration of arguments / alternatives and unsupported statements. Information may be ambiguous or unstructured. 0 marks — no work worthy of credit.

ASSESSMENT OBJECTIVE GRID (AO)

	AO1a	AO1b	AO2	AO3a	AO3b	Total	Quantitative skills
Section A (MCQs 1–20)	5	10	5			20	3
Question 21 (total)	3	2	7	5	3	20	4
Question 22 (total)	3	2	7	5	3	20	4
Question 23 (total)	3	2	7	5	3	20	4
Section B total	9	6	21	15	9	60	12
Paper total	14	16	26	15	9	80	15

END OF MARK SCHEME